Income Taxes

As a Partnership, Enstar Income/Growth Program Five-A, L.P. pays no federal income taxes as an entity. All of the income, gains, losses, deductions and credits of the Partnership are passed through to the General Partners and the Limited Partners. Nominal taxes are assessed by certain state jurisdictions. The basis in the Partnership's assets and liabilities differs for financial and tax reporting purposes. As of December 31, 2003 and 2002, the book basis of the Partnership's investment in the Joint Venture exceeds its tax basis by approximately $902,300 and $1,810,700, respectively. The accompanying financial statements, which are prepared in accordance with accounting principles generally accepted in the United States, differ from the financial statements prepared for tax purposes due to the different treatment of various items as specified in the Internal Revenue Code. The net effect of these accounting differences is that net income for the year ended December 31, 2003 in the financial statements is approximately $1,744,000 less than tax income primarily as a result of differences between the Partnership's share of the Joint Venture's tax gain on sale of cable systems versus the Partnership's share of the Joint Venture's book gain on sale of cable systems caused principally by book and tax basis differences on the assets sold. The net effect of these accounting differences for the years ended December 31, 2002 and 2001 is approximately $112,800 and $407,100 less than tax income or loss for the same period, respectively. The difference is principally due to timing differences in depreciation and amortization expense reported by the Joint Venture.